2013 HSC TASK 1 EXAMINATION

Business Studies

carr

Section I

2	4	S	9	1	2	9	8	

Student Number

Carr.

M	R	R

Teacher Initials

40 marks
Attempt Questions 1–4
Allow about 60 minutes for this section

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 1 (6 marks)

(a) How are the operations of a business interdependent on ONE other key business function? **2**

A businesses operations is interdepent with the key business function Human resources. Human resources are relied upon by a businesses operations as they are considered a transforming resource and management of HR is essential to achieve efficient and effective operations. Human resources may also need to be managed and trained in specific ways such as specialization.

2

(b) Explain how using the strategic approach to differentiation of a good/service may impact upon a business' performance objectives. **4**

Differentiation is a strategic approach which is aimed at providing consumers with a unique or a wide range of product and services, differentiating from competitors. This approach may impact a business' peformance objects, particularly quality, and customization ~~cost-minimization~~. Quality may be impacted as goods/sevices can differentiate on quality, and can provide consumers with more dependable and higher quality products. Customization may be impacted on if the business aims at differentiating with a unique and customized product.

4

Quality
Speed
Depend
Flexi
Customization
Cost-minimization

End of Question 1

2013 HSC TASK 1 EXAMINATION

Business Studies

2	4	5	9	2	4	1	3	

Student Number

6

Section I

Lewis

L	A	W

Teacher Initials

40 marks
Attempt Questions 1–4
Allow about 60 minutes for this section

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 1 (6 marks)

(a) How are the operations of a business interdependent on ONE other key business function? **2**

Operations and marketing are mutually interdependent as marketing provides research and decisions regarding what consumers desire from the firm's product. Operations must also inform marketing of volume capacities and production flexibility.

2

(b) Explain how using the strategic approach to differentiation of a good/service may impact upon a business' performance objectives. **4**

The operation strategy of differentiation involves creating a product unique in the market through extra or improved features or better quality. This often involves higher quality inputs, increasing cost to the firm as well as more care, reducing the speed of production. A differentiated product will often be more dependable and of high quality, generally increasing consumer expectations.

4

End of Question 1

carr

W. Carr

2013 HSC TASK 1 EXAMINATION

Business Studies

2	4	5	9	1	2	9	8	

Student Number

M	R	R

Teacher Initials

Section I (continued)

10 well done

Question 2 (10 marks)

'Solarite' is a company that uses leading edge technology to produce Australian made solar panels to provide alternative energy sources for major TNC's. They rely on government assistance although have faced recent scrutiny form the public due to high costs and the time taken to repair products under warranty.

Clegg Q+

(a) Describe THREE influences that have impacted on SOLARITE. **6**

Influence 1 Technology has had a significant impact on solarite. Solarite have produced their products using leading edge technology, which is the most advanced and innovative technology available. Technology has allowed them to produce more advanced products efficently.

Influence 2 Environmental sustainability has also impacted solarite as their business is based around the sustainable use of energy. It has influenced the business as Solarite has based their product around using energy in a sustainable way so that future generations have access to the same resource.

Influence 3 Quality expectations has impacted Solarite. The company has faced problems with the repair of products as they have failed to meet and sustain the expectations of consumers. The company may need to re-assess quality management to reassure that customer expectations of quality are been met by the products.

6

Question 2 continues on the next page.

Question 2 (continued)

(b) Discuss the impacts for business of embracing corporate social responsibility? **4**

Embracing corporate social responsibility generally has a positive impact on businesses. Corporate social responsibility is the business's efforts based on respect for people, the community and the broader environment. Developing a good CSR involves doing more than the minimum legal requirements and demonstrating a responsibility for the community. Business's who develop a good CSR can develop a strong reputation amongst consumes. This can lead to the development of a greater customer base and ultimately lead to improved sales and greater profit. Although embracing CSR is majorly beneficial for a business, it can bring about a range of various costs as business's may have to change and adopt new practices and procedures to develop corporate social responsibility.

4

End of Question 2

10

S. Clinton

2	4	5	9	1	3	8	7	

Student Number

L	A	W

Teacher Initials

Section I (continued)

Question 3 (10 marks)

Wong Tong Noodle Bar Pty Ltd is a restaurant that has made a decision to cook their meals directly in front of the customer rather than behind kitchen doors. They believe that they might develop a competitive advantage over their competitors using this approach.

(a) Distinguish between transformed and transforming resources and provide an example of EACH in the context of the stimulus above. **4**

Transformed resources are inputs into the operations that are changed or converted in the transformation process. Transformed resources include raw materials, in this case noodles, information, which for Wong Tong maybe a recipe which is converted into a meal and customers whose hunger changes after eating the meal.

Transforming resources are inputs into the operations process, but do not change or convert in the transformation process. Transforming resources include human resources such as the chef and facilities like the machinery and equipment used to cook the noodles

4

(b) Identify which influence on the transformation process is most relevant to Wong Tong's decision to cook in front of the customers and explain ONE implication this decision may have on the operations process. 3

Identify Influence ...Visibility (Customer Contact)... (1)

.....

Explain Implication ...One implication Wong Tong may obtain through choosing to increase customer contact is that consumers are more able to closely see the operations process highlighting any inefficiencies or problems the noodle business may have. If the operations of the firm are poor, this may affect Wong Tong Noodle Bar negatively by decreasing their reputation from exposed poor practices... (2)

(c) Define the term warranty and explain ONE potential benefit to a company that decides to issue one. 3

A warranty is a legally binding guarantee, provided by the business, which states that the good or service meets certain standards or obtain certain attributes. One potential benefit a company may get from using a warranty is a larger appeal to consumers. When consumers see a warranty on a product, it increases their confidences as they know if there are any defects or problems, the business will repair the product at its own expense. This benefits the business as it attracts a larger amount of consumers and increases sales, thus revenues. (3)

if not what happens?

End of Question 3

Cook

14

2013 HSC TASK 1 EXAMINATION

Business Studies

2	4	5	9	1	4	6	8	

Student Number

M	+	R

Teacher Initials

Section I (continued)

Question 4 (14 marks)

Stig is an operations manager at a furniture manufacturer in Melbourne. They have been selling uniquely designed, contemporary furniture in the global market for two years, with strong sales particularly in the United Arab Emirates. However, all inputs are sourced in Australia. The business has recently suffered a loss of market share as a new competitor from Brazil now offers similar unique furniture at a cheaper price and with faster lead times.

QSO FLC

(a) Describe TWO operations performance objectives that Stig should aim to achieve given the influences on the business. **4**

One performance objective Stig should aim to achieve is the speed of operations. Speed increases allow for the business to produce goods faster from the time the order for the furniture was made. Therefore increasing the competitiveness of Stigs lead times against the competitor. Stig should also aim to achieve cost as a performance objective. Meaning taking necessary action to run operations as cheaply as possible. This allows Stig to reduce the cost to consumers of his products while still retaining a similar profit margin. Thus increasing his cost competitiveness against the competitor & increasing his market share.

4

Question 4 continues on the next page.

(b) Discuss the use of outsourcing for Stig's business. 4

Some benefits of outsourcing for Stig's business would be quality & cost benefits & the ability to focus on core business operations. Outsourcing refers to contracting an outside business to perform non-core business operations. For Stig this can increase the quality of his goods & services as the company who is contracted is often more specialised. 4 Outsourcing can also reduce running costs & labour costs thereby increasing profitability however outsourcing can lead to loss of control of business operations for example the quality of the work as well as a loss of important security information of Stig's business.

(c) Analyse how the strategy of quality management assists businesses to sustain a competitive advantage. 6

Quality Management refers to a business control the strategies of assurance, control & improvement to ensure the functionality, durability & consistency of its goods & services. Setting quality standards through the use of quality assurance, taking corrective action on discrepancies to planned quality standards through checks & inspections through control & applying strategies such as TQM to continuously improve will greatly affect a businesses competitive advantage. High quality outputs & processes means there is a lower volume of wastage & costs incurred. Therefore improving the efficiency & reducing production expenses of the business. Allowing the business to maintain a competitive advantage by competing on cost. Effective quality management will also lead to a smaller number of defects sold to the consumer & higher standard products generally. Therefore better satisfying consumer quality expectations & improving the reputation of the business. Leading to increased sales & repeat sales & therefore a [illegible] quality